

25 February 2026

Bangkok Dusit Medical Services Public Company Limited

MANAGEMENT DISCUSSION AND ANALYSIS

Business Overview

Bangkok Dusit Medical Services Public Company Limited (“The Company”) (stock symbol: BDMS) is the largest private healthcare provider in Thailand. It operates a network of 60 hospitals under six hospital groups: Bangkok Hospital, Samitivej Hospital, BNH Hospital, Phyathai Hospital, Paolo Hospital, and Royal Hospital. In addition, the Company and subsidiaries also operate Wellness Clinic and supporting businesses such as medical laboratories, production and distribution of pharmaceutical products and medical equipment, pharmacies and hotel.

Executive Summary

4Q25 & 2025 Performance

	4Q25		2025	
	THB mm	% Chg (YoY)	THB mm	% Chg (YoY)
Operating Income	29,022	4%	113,206	4%
Net Profit	3,693	(15%)	15,848	(1%)
Adj. Net Profit*	4,032	(3%)	16,187	2%

*Remark: * Excluded special items*

YoY means changes compared to 4Q24 and 2024

4Q25 Performance

Bangkok Dusit Medical Services Public Company Limited (“The Company”) and its subsidiaries reported consolidated operating income for the fourth quarter of 2025 (“4Q25”) of Baht 29,022 million, an increase of 4% from 4Q24 driven mainly from Thai patient revenues growth of 5% YoY while international patient revenues growth of 1% YoY. However, the Company and its subsidiaries reported net profit of Baht 3,693 million, a decrease of 15% YoY due to impact from flooding in Hat Yai and

accounting adjustments (“special items”) of Baht 339 million (net of income taxes).

Excluding special items, the Company and its subsidiaries reported adjusted net profit of Baht 4,032 million, a slight decrease of 3% YoY in 4Q25 due to an increase in depreciation expenses from hospital expansion and decrease in tax privilege from various investment promotion measures.

2025 Performance

For the year ended 31 December 2025 (“2025”), the consolidated operating income were Baht 113,206 million, increased by 4% YoY. The growth was attributable to an increase in revenue from hospital operations of 4% YoY driven by higher price intensity from complex cases. Thai patient revenues grew 3% YoY while international patient revenues grew 5% YoY.

In 2025, revenue from international patients was affected by the Thailand–Cambodia border conflict, which began in mid-2025 and is considered an uncontrollable external factor. **Excluding revenue from Cambodian patients**, total hospital revenue would have grown by approximately 5% YoY, and international patient revenue would have grown by approximately 11% YoY from 2024.

The Company and its subsidiaries reported net profit of Baht 15,848 million, slightly decreased by 1% YoY. **Excluding special items**, totaling Baht 339 million (net of income tax), the Company and its subsidiaries recorded an adjusted net profit of Baht 16,187 million, an increase of 2% from 2024.

Major Developments in 2025

1. TRIS Rating affirms BDMS and debentures rating at “AA+”, with a “stable” rating outlook.

TRIS Rating affirms the Company rating and senior unsecured debentures rating at “AA+”, with a “stable” rating outlook. The ratings reflect BDMS’s strong market position as the largest private healthcare provider in Thailand with its extensive network of hospitals and strong franchise of hospital brands. The ratings also take into consideration the Company’s sound operating performance and strong balance sheet.

2. Hospital network expansion

- **Samitivej Srinakarin Hospital** (Bangkok Province) opened a new ‘Samitivej International Children Hospital’ building, comprising of 103 beds, in March 2025.
- **Bangkok Hospital Chiangmai** (Chiangmai Province) expanded its capacity with a new 90-bed facility, which opened in May 2025.
- **Phyathai Bowin Hospital** (Chonburi Province) commenced operations in July 2025, opening its first phase with 59 beds out of a total structural capacity of 220 beds.
- **Bangkok Hospital Khao Yai** (Nakhon Ratchasima Province) commenced operations in November 2025, launching its first phase with 28 beds out of a total structural capacity of 71 beds.

3. Thai- Cambodia border dispute

The conflict situation along the Thai–Cambodia border, which has persisted since June 2025, has caused travel difficulties for Cambodian patients seeking medical treatment in Thailand, resulting in a decline in revenue from Cambodia patients from approximately 3% of hospital revenue in 2024 to approximately 2% in 2025. The Company is aware of the impact of this situation and has

revised our marketing strategy, both domestically and internationally, to mitigate the effect.

4. Flooding in the southern region of Thailand

In November 2025, severe flooding occurred in the southern region of Thailand, causing Bangkok Hospital Hat Yai (193 beds; Songkla province) and the surrounding subsidiaries to temporarily suspend operations for approximately three weeks. The incident damages were partially reimbursed by the insurance company in 2025, while the remaining reimbursements expected to be received within 2026.

4Q25 Consolidated Financial Summary

Operating Income			
(THB mm)	4Q25	4Q24	YoY
Hospital operations	27,421	26,326	4%
Sales of goods	1,032	1,077	(4%)
Other income	569	424	34%
Total Operating Income	29,022	27,828	4%

In 4Q25, total operating income was Baht 29,022 million, an increase of 4% YoY from 4Q24, due mainly to

- Revenues from hospital operations were Baht 27,421 million, an increase of Baht 1,095 million or 4% YoY mainly from growth of Thai patient revenues of 5% YoY and international patient revenues of 1% YoY. As a result, the revenue mix between Thai and international patients changed from 71%:29% in 4Q24 to 72%:28% in 4Q25.

Key international patients continued to show solid growth in 4Q25 with patients from Myanmar increasing by 43%, Qatari by 22% and American by 21% YoY. However, revenue from Cambodian patients declined by 72% YoY,

primarily due to the Thailand-Cambodia border conflict (began in mid-2025). This contraction resulted in modest overall growth in international patient revenues in 4Q25. **Excluding revenues from Cambodian patients**, total hospital revenues would have grown by approximately 6% YoY, while international patient revenues would have grown by approximately 10% YoY compared with 4Q24.

Revenues from hospital operations in 4Q25	Chg. (YoY)	% of revenues
Revenues growth from hospital operations	4%	100%
<i>(Excluding Cambodian)</i>	<i>6%</i>	
Breakdown by nationality		
Thai	5%	72%
International	1%	28%
<i>(Excluding Cambodian)</i>	<i>10%</i>	
Breakdown by location		
Bangkok & Vicinity	2%	55%
Outside Bangkok	6%	45%
Breakdown by type of patients		
Outpatients	5%	50%
Inpatients	3%	50%

Revenues from hospital operations in Bangkok & Vicinity grew by 2% YoY while revenues from hospital operations outside Bangkok grew by 6% YoY.

Outpatient and inpatient revenues grew by 5% and 3% YoY, respectively. Overall occupancy rate increased from 62% in 4Q24 to 64% in 4Q25.

- Revenues from sales of goods were Baht 1,032 million, decreased by 4% YoY due mainly to a decrease in sales of A.N.B. Laboratories Co., Ltd and Save Drug Center Co., Ltd.
- Other incomes were Baht 569 million, increased by 34% YoY, due to mainly from increase in rental income and higher revenue of the Mövenpick BDMS Wellness Resort.

Operating Expenses			
<i>(THB mm)</i>	4Q25	4Q24	YoY
Cost of hospital operations and others	18,448	17,037	8%
Administrative expenses	5,935	5,476	8%
Total Operating Expenses (Including depreciation)	24,383	22,513	8%

In 4Q25, the Company and its subsidiaries reported total operating expenses & depreciation of Baht 24,383 million, an increase of Baht 1,870 million or 8% YoY. This growth rate outpaced the increase in total operating income during the same period. The primary reasons were attributable to

- (1) an increase in depreciation expenses, which rose Baht 203 million or 13% YoY driven by the opening of two new hospitals and the expansion of bed capacity at two existing hospitals in 2025
- (2) impact from special items (*details as shown in the special items table*)

Excluding special items and depreciation, total operating expenses would increase 5% YoY from 4Q24

Special Items

In 4Q24 and 4Q25, the Company recorded special items (net of income tax) as follows:

(THB mm)	4Q25	4Q24
1. Impact from flooding in Hat Yai *	(75)	-
2. Provision for lifelong medical care programs **	(229)	189
3. Provision for employee long service awards **	(40)	27
4. Write off unused assets	(72)	-
Total	(416)	216
Total net of taxes	(339)	173

Remark:

* Insurance partially reimbursed, the rest is expected within 2026

** Accounting adjustments due to changes in actuarial assumptions, such as the discount rate and gold price

Other Major Items

- **Finance expenses** decreased to Baht 84 million in 4Q25 or decreased by 22% YoY from debentures redemption in 2Q25 and declining interest rate.
- **Corporate income tax:** In 4Q25, the Company received lower tax privileges from various investment promotion measures compared to 4Q24, resulting in an effective tax rate of 18% in 4Q25, higher than the 16% recorded in 4Q24.

Profitability Analysis			
(THB mm)	4Q25	4Q24	%Chg
EBITDA	6,447	6,919	(7%)
EBITDA margin	22.2%	24.9%	
EBITDA*	6,863	6,703	2%
EBITA margin *	23.6%	24.1%	
Corporate income tax	805	841	(4%)
Net profit	3,693	4,333	(15%)
Net profit margin	12.7%	15.6%	
Net profit*	4,032	4,160	(3%)
Net profit margin*	13.9%	14.9%	

Remarks

* Excluded special items

EBITDA = Total operating income – Total operating expenses (Excluding depreciation and amortization)

Profitability margin calculated based on operating income

Profitability Analysis			
	4Q25	4Q24	%Chg
EPS (THB)	0.23	0.27	(15%)
EPS (THB)*	0.25	0.26	(3%)
<i>Weighted average number of ordinary shares</i>			
(mm shares)	15,892	15,892	
<u>Remarks</u>			
* Excluded special items			

The Company and its subsidiaries recorded 4Q25 EBITDA of Baht 6,447 million, decreased by 7% YoY, due mainly to impact from special items of Baht 416 million (before income taxes). This resulted in a decrease in EBITDA margin from 24.9% in 4Q24 to 22.2% in 4Q25 and a decrease of 15% YoY in net profit to Baht 3,693 million in 4Q25.

Excluding special items, the Company and its subsidiaries reported adjusted EBITDA of Baht 6,863 million, increase by 2% YoY in 4Q25, and declined in adjusted EBITDA margin from 24.1% in 4Q24 to 23.6% in 4Q25. Meanwhile, adjusted net profit was Baht 4,032 million, a slight decrease of 3% YoY in 4Q25, due to an increase in depreciation expense from hospital expansion and a decrease in tax privilege from various investment promotion measures.

4Q25 Comparing with 3Q25 (QoQ)

Consolidated Financial Summary			
(THB mm)	4Q25	3Q25	QoQ
Total operating income	29,022	28,598	1%
Total operating expenses			
(Including depreciation)	24,383	23,164	5%
EBITDA	6,447	7,193	(10%)
EBITDA margin	22.2%	25.2%	
EBITDA*	6,863	7,193	(5%)
EBITDA margin*	23.6%	25.2%	
Corporate income tax	805	973	(17%)
<u>Remarks</u> : * Excluded special items			

Consolidated Financial Summary

(THB mm)	4Q25	3Q25	QoQ
Net profit	3,693	4,319	(15%)
Net profit margin	12.7%	15.1%	
Net profit*	4,032	4,319	(7%)
Net profit margin*	13.9%	15.1%	
EPS (THB)	0.23	0.27	(15%)
EPS (THB)*	0.25	0.27	(7%)

*Remarks : * Excluded special items*

The Company and its subsidiaries reported total operating income increased by 1% QoQ. Thai patient revenues decreased by 3% QoQ while international patient revenues increased 9% QoQ.

Total operating expenses (including depreciation) increased by 5% QoQ, due to impact from special items resulting in a 15% QoQ decrease in net profit in 4Q25. **Excluding special items**, the Company and its subsidiaries recorded an adjusted net profit would be decreased by 7% QoQ.

2025 Consolidated Financial Summary

Operating Income

(THB mm)	2025	2024	%Chg
Revenues from hospital operations	107,514	103,575	4%
Revenue from sales of goods	3,994	4,292	(7%)
Other income	1,699	1,484	15%
Total Operating Income	113,206	109,351	4%

In 2025, total operating income was Baht 113,206 million, an increase of Baht 3,855 million or increased by 4% YoY, primarily due to

- Revenues from hospital operations were Baht 107,514 million, an increase of Baht 3,938 million or increased by 4% YoY driven by higher price intensity from complex cases. Thai patient revenue increased by 3% YoY in 2025, lower than growth of 5% YoY in 2024, due to impact from economic slowdown. International patient revenue increased by 5% YoY, the growth was

affected by the Thailand–Cambodia border conflict, which began in mid-2025 and is considered an uncontrollable external factor.

Excluding revenue from Cambodian patients, total hospital revenue would have grown by approximately 5% YoY, and international patient revenue would have grown by approximately 11% YoY from 2024.

Key international patient revenues in 2025 was driven by an increase of Qatar patients 36% YoY, Myanmar patients 31% YoY and American patients 19% YoY. Revenue proportion between Thai and international patients remained unchanged at 72%:28% in 2024 and 2025.

Hospitals in Bangkok & vicinity and hospitals outside Bangkok & vicinity increased 3% and 5% YoY, respectively.

Outpatient and inpatient revenues grew by 5% and 2% YoY, respectively, driven by higher price intensity from complex cases. In 2025, the number of available beds increased due to the opening of new hospitals, while the number of inpatients declined from 2024 as a result of the economic slowdown, causing overall occupancy rate to decrease from 67% in 2024 to 64% in 2025.

Revenues from hospital operations in 2025	Chg. (YoY)	% of revenues
Revenues growth from hospital operations	4%	100%
<i>(Excluding Cambodian)</i>	<i>5%</i>	
Breakdown by nationality		
Thai	3%	72%
International	5%	28%
<i>(Excluding Cambodian)</i>	<i>11%</i>	
Breakdown by location		
Bangkok & Vicinity	3%	54%
Outside Bangkok	5%	46%
Breakdown by type of patients		
Outpatients	5%	49%
Inpatients	2%	51%

- Revenues from sales of goods were Baht 3,994 million, decreased by 7% YoY due to a decrease in sales of A.N.B. Laboratories Co., Ltd.
- Other income was Baht 1,699 million, increased by 15% YoY due to mainly from increase in rental income and higher revenue of Mövenpick BDMS Wellness Resort.

Operating Expenses			
(THB mm)	2025	2024	%Chg
Cost of hospital operations and others	71,261	68,071	5%
Administrative expenses	21,784	20,828	5%
Total Operating Expenses (Including depreciation)	93,045	88,899	5%

In 2025, the Company and its subsidiaries reported total operating expenses & depreciation of Baht 93,045 million, an increase of Baht 4,146 million or 5% YoY mainly from

- (1) an increase in depreciation expenses, which rose Baht 716 million or 12% YoY driven by the opening of two new hospitals and the expansion of bed capacity at two existing hospitals in 2025

- (2) impact from special items (details as shown in the Special Items table)

Excluding special items and depreciation, total operating expenses would increase 3% YoY.

Special Items

In 2024 and 2025, the Company recorded special items (net of income tax) as follows:

(THB mm)	2025	2024
1. Impact from flooding in Hat Yai *	(75)	-
2. Provision for lifelong medical care programs **	(229)	189
3. Provision for employee long service awards **	(40)	27
4. Write off unused assets	(72)	-
Total	(416)	216
Total net of taxes	(339)	173

Remark:

* Insurance partially reimbursed, the rest is expected within 2026

** Accounting adjustments due to changes in actuarial assumptions, such as the discount rate and gold price

Other Major Items

- **Finance expenses** decreased to Baht 357 million or decreased by 18% YoY from debentures redemption and declining interest rate.
- **Corporate income tax** was Baht 3,694 million, decreased by 3% YoY due to tax privileges from the Board of Investment (BOI) for the Digital Core Transformation Project aimed at enhancing efficiency, as well as energy-saving initiatives and other investment promotion measures.

Profitability Analysis			
(THB mm)	2025	2024	%Chg
EBITDA	27,010	26,584	2%
EBITDA margin	23.9%	24.3%	
EBITDA*	27,426	26,368	4%
EBITDA margin*	24.2%	24.1%	
Corporate income tax	3,694	3,792	(3%)
Net profit	15,848	15,987	(1%)
Net profit margin	14.0%	14.6%	
Net profit*	16,187	15,814	2%
Net profit margin*	14.3%	14.5%	

Remark: * Excluded special items

Profitability Analysis			
(THB mm)	2025	2024	%Chg
EPS (THB)	1.00	1.01	(1%)
EPS (THB)*	1.02	1.00	2%
<i>Weighted average number of ordinary shares (mm shares)</i>			
	15,892	15,892	
<i>Remark: * Excluded special items</i>			

The Company and its subsidiaries recorded EBITDA of Baht 27,010 million in 2025, increased by 2% YoY. However, EBITDA margin decreased from 24.3% in 2024 to 23.9% in 2025.

The Company and its subsidiaries recorded net profit in 2025 was Baht 15,848 million, slightly decreased by 1% YoY. Net profit margin also decreased from 14.6% in 2024 to 14.0% in 2025 with EPS of Baht 1.00 per share in 2025.

Excluding special items, the Company and its subsidiaries reported adjusted EBITDA of Baht 27,426 million, an increase of 4% YoY. EBITDA margin increased from 24.1% in 2024 to 24.2% in 2025. The Company and its subsidiaries recorded adjusted net profit was Baht 16,187 million, an increase of 2% YoY.

Summary of Statement of Financial Position

Assets			
(THB mm)	Dec 25	Dec 24	%Chg
Cash & cash equivalents	6,342	7,373	(14%)
Trade & other receivables	11,986	11,906	1%
Inventories	3,422	2,603	31%
Property, premises & equipment	99,552	93,849	6%
Goodwill	17,539	17,539	(0%)
Right-of-use assets	9,928	10,199	(3%)
Other assets	9,192	8,044	14%
Total assets	157,961	151,514	4%

As of 31 December 2025, the Company and its subsidiaries reported **total assets** of Baht 157,961 million, an increase of 4% from 31 December 2024 due mainly to net increase in property, premises and equipment of Baht 5,703 million for the investment in hospital network expansion. In addition, inventories increased by Baht 819 million, mainly due to the recognition of real estate development for sales amounting to Baht 567 million.

The Company carried goodwill of Baht 17,539 million, which remain unchanged from 31 December 2024. Goodwill were mainly from acquisitions of (1) Phyathai and Paolo Hospital Group of Baht 9,310 million (2) Bangkok Sanamchan Hospital, Thephakorn Hospital, Bangkok Muangraj Hospital and Bangkok Phetchaburi Hospital of Baht 3,285 million and (3) Bangkok Siriroj of Baht 2,702 million. Such goodwill is tested for impairment annually and when circumstances indicate that the carrying value may be impaired. However, the Company has considered that this goodwill is not impaired.

Other assets of Baht 9,192 million mainly consisted of (1) intangible assets which mainly were computer software of Baht 2,764 million (2) other non-current financial assets which were investment in equity and debt instruments of Baht 1,667 million (3) investments in associates of Baht 1,289 million, and (4) other current financial assets which were investment in fixed deposits and mutual funds of Baht 889 million.

Liabilities and Equity			
(THB mm)	Dec 25	Dec 24	%Chg
Short-term loans	3,500	2,500	40%
Trade & Other payables	7,522	8,113	(7%)
Accrued expenses	6,333	6,296	1%
Debentures *	3,000	4,999	(40%)
Long-term loans *	3,000	3,000	0%
Liabilities under lease agreements *	7,987	7,859	2%
Provision for life long medical care programs	3,051	2,467	24%
Non-current provision for employee benefits	5,502	4,986	10%
Other liabilities	8,058	7,368	9%
Total liabilities	47,952	47,588	1%
Equity attributable to equity holder of the Company	105,894	100,037	6%
Non-controlling interests	4,114	3,890	6%
Total equity	110,009	103,927	6%

*Remark: * Including current portion*

Total consolidated liabilities as of 31 December 2025 were Baht 47,952 million, slightly increased by 1% from 31 December 2024 due mainly to an increase in short-term loan from financial institutions of Baht 1,000 million, provision for life long medical care programs of Baht 584 million and non-current provision for employee benefits of Baht 516 million, netted with a decrease in debentures of Baht 2,000 million and trade & other payables of Baht 592 million.

Total consolidated shareholders' equity as of 31 December 2025 was Baht 110,009 million, increased by 6% from 31 December 2024.

Liquidity and Capital Management

Cash Flow	
(THB mm)	2025
Net cash from operating activities	23,355
Net cash used in investing activities	(10,608)
Net cash used in financing activities	(13,725)
Exchange differences on translation	(53)
Net decrease in cash and cash equivalents	(1,031)
Beginning cash and cash equivalents	7,373
Ending cash and cash equivalents	6,342

For the year ended 31 December 2025, the Company and its subsidiaries had net decrease in cash and cash equivalent of Baht 1,031 million from the beginning balance of Baht 7,373 million. As a result, the cash and cash equivalents at the end of the year was Baht 6,342 million. Details of cash flow by activities during the year are as follows: -

Net cash flows from operating activities were Baht 23,355 million, mainly from profit in 2025.

Net cash used in investing activities was Baht 10,608 million comprising mainly from purchase of property, premises and equipment of Baht 10,416 million for hospital network renovation.

Net cash used in financing activities was Baht 13,725 million due mainly to dividend payment of Baht 11,917 million and debentures redemption of Baht 2,000 million, netted with an increase in short-term loans from financial institutions of Baht 1,000 million.

Ratios Analysis		
Returns (%)	2025	2024
Return on Asset	10.2	10.8
Return on Equity	15.4	16.4
Liquidity (x)		
Current ratio	1.0	1.1
Assets & Liabilities Management (Days)		
Cash Cycle	14.6	14.1
Average Inventory Period	14.0	13.5
Average Collection Period	40.7	40.9
Average Payable Period	40.0	40.3
Leverage Ratios (x)		
Interest coverage	75.8	61.3
Total IBD to EBITDA	0.6	0.7
Net IBD to EBITDA	0.4	0.4
Debt service coverage ratio	3.9	5.5
Current portion of IBD to IBD (%)	39.3	26.2
Loan from financial institutions to IBD (%)	37.2	30.0
Debt to Equity Ratio (x)		
Total liabilities to equity	0.4	0.5
Total IBD to equity	0.2	0.2
Net IBD to equity	0.1	0.1

Remarks

- Assets & liabilities management based on 365 days
- IBD means interest bearing debt

The Company and its subsidiaries recorded a ROA of 10.2% and ROE of 15.4% in 2025, a slight decrease from 2024.

The current ratio of 1.0x slightly decreased from 2024 due to a decrease in cash & cash equivalents together with an increase in short-term loans from financial institutions and the current portion of debentures.

The average inventory period (excluding real estate development for sales) increased from 13.5 days in 2024 to 14.0 days in 2025. The inventories were mostly medicines and medical supplies. The Company and its subsidiaries have an appropriate

inventory management plan with internal control. The Company and its subsidiaries perform physical inventory count at least once a year and record allowance for the expired, slow-moving and deteriorated inventories to reduce its cost to net realizable value.

The average collection period slightly decreased from 40.9 days in 2024 to 40.7 days in 2025. The Company and subsidiaries have credit policies and assess credit limit based on customer creditworthiness. The average credit term for domestic payers is approximately 30-60 days while international payers are approximately 30-90 days. The credit terms are reviewed annually to monitor and control credit risk.

The average payable period slightly decreased from 40.3 days in 2024 to 40.0 days in 2025.

Cash Cycle slightly increased from 14.1 days in 2024 to 14.6 days in 2025.

For leverage ratios analysis, interest coverage ratio increased from 61.3x in 2024 to 75.8x in 2025 mainly from good performance and a decrease in finance expenses in 2025. Debt service coverage ratio (DSCR) decreased from 5.5x in 2024 to 3.9x in 2025 due to higher current portion of interest bearing debt.

Total interest bearing debt to EBITDA slightly decreased to 0.6x in 2025 while net interest bearing debt to EBITDA remained unchanged at 0.4x in 2024 and 2025.

For debt-to-equity ratio analysis, total interest bearing debt to equity remained unchanged at 0.2x. Net interest bearing debt to equity also remained unchanged at 0.1x as of both 31 December 2024 and 31 December 2025.

The Company and its subsidiaries strongly believe that it has sufficient liquidity to repay its debt within

the covenants and will continue to be able to successfully adapt as the situation evolves.

Healthcare Industry Outlook and Emerging Risks Management

For 2026, the private hospital business in Thailand is expected to continue to expand, despite facing economic conditions that may remain sluggish from the previous year. The Company has been adapting by developing new technologies and enhancing its capabilities to address increasing competition and market challenges, while also improving cost efficiency across operations. In the long term, the Company remains confident in the growth potential of Thailand's private hospital sector, supported by demand from both Thai and international patients, particularly due to the rising proportion of the elderly population. Thailand continues to offer high-quality and cost-effective medical services and is also a leading destination for tourism, helping to attract medical tourists sustainably in the long term.

Key Strategic Priorities in 2026

BDMS's portfolio of network hospitals with diversified market segments, capable physicians and nurses and strong franchise of our hospital brands together with customer service experience enhancement through innovation would play a crucial role in sustainable growth of healthcare business serving rising healthcare demand in the future. In 2026, we would focus on the following strategic priorities:

1) Business Efficiency

The Company focuses on driving growth through its core businesses by optimizing the use of existing resources and strengthening collaboration across hospital groups, for example, through patient referrals and the sharing of medical services. These initiatives

enhance competitiveness and support the continued expansion of the patient base.

At the same time, the Company places strong emphasis on efficient cost management, with a particular focus on supply chain and inventory management. These efforts are aimed at improving resource utilization, supporting business expansion, and driving sustainable long-term growth.

2) Smart Healthcare

The Company has integrated Artificial Intelligence (AI) with advanced data-management systems to enhance clinical accuracy and operational efficiency. By combining these technologies with modern medical innovations, the Company is able to deliver continuum healthcare services across both online and offline channels. The adoption of these technologies elevates the quality of medical care, streamlines operations, and strengthens the Company's ability to precisely meet patient needs. This results in healthcare services that are more convenient, faster, and increasingly accessible.

3) Excellence & Trust

The Company is committed to achieving excellence in clinical care through its Centers of Excellence (COE), which focus on advanced and specialized treatment for complex diseases to deliver the highest quality outcomes. The COEs cover major medical areas, including oncology, cardiovascular, neurological, trauma and emergency care, and orthopedics—supporting the growing medical needs of an aging population.

In addition, the Company continues to lead the adoption of cutting-edge medical technologies, such as becoming the first private hospital in Thailand to offer proton therapy, which is

expected to commence operations in 2029. The Company is also developing Cell Therapy programs to address the increasing demand for complex treatments.

At the same time, the Company prioritizes appropriate pricing under the Value-Based Care concept, emphasizing high-quality medical services at reasonable and cost-effective prices. This approach enhances patient experience and satisfaction, supporting the Company's sustainable growth and competitiveness.

4) **Market Expansion**

The Company is committed to enhancing and broadening its healthcare services, including preventive healthcare, which serves as an essential foundation for promoting long-term wellbeing and attracting both medical tourists and domestic customers. In addition, the Company will continue to implement effective marketing strategies while strengthening partnerships with health-insurance providers—both local and international—to further expand its insured-patient base on a continuous basis.

Factors that May Affecting Future Operations

BDMS currently has approximately 9,300 structure beds, with plans to expand to around 9,600 beds by 2027. This expansion will include hospitals in both Bangkok and upcountry to accommodate the increasing number of patients and the future development of healthcare services.

In 2026, The Company plans to expand bed capacity at existing hospitals as follows:

- Bangkok Hospital Huahin (Prachuab Khiri Khan Province) plans to expand its bed capacity from 64 beds to 116 beds
- Bangkok Hospital Surat (Surat Thani Province) plans to expand its bed capacity from 88 beds to 148 beds

Additionally, the company plans to invest in a mixed-use project comprising of a preventive healthcare center (Wellness), residential building (condominium), hotel, and retail spaces, expected to be opened in 2030. The goal is to become a leader in preventive medicine, longevity and anti-aging in Asia. This investment will be funded through cash flow from operations, loans from financial institutions, and/or the issuance of debentures, with no significant impact on the Company's financial position.

Regarding the conflict along the Thailand–Cambodia border that has persisted since June 2025, revenue from Cambodian patients has declined. The Company recognizes the impact of this situation and has revised both domestic and international marketing strategies to mitigate the adverse effects.

Sustainable Development Update

Environment: In 2025, the Company advanced its Net Zero ambition by intensifying efforts to reduce direct and indirect greenhouse gas (GHG) emissions (Scope 1 and 2). During the year, the Company recorded Scope 1 and 2 emissions of 188,000 tons of carbon dioxide equivalent, representing a 22.2% reduction from the 2022 base year. Key energy and environmental initiatives included enhancements to building management systems, increased renewable energy consumption, and improved resource efficiency to support long-term decarbonization. In 2025, renewable energy accounted for 6.2% of total energy consumption, rising 55.4% from the previous year. The Company remains focused on strengthening its climate strategy and expanding GHG reduction programs to drive long-term environmental sustainability.

Social: The Company is committed to creating comprehensive social value and enhancing patient experience. Patient satisfaction reached 93.2% in 2025, surpassing the international HCAHPS

benchmark of 89%. The Company upholds human rights principles and fosters an equitable, inclusive, and multicultural workplace through structured internal engagement initiatives. The Company also supports social programs aimed at broadening equitable access to healthcare services, thereby strengthening trust among communities and patients both in Thailand and internationally. In collaboration with the Vejdusit Foundation, the Company supported physical and mental healthcare access through key initiatives benefiting over 110,000 individuals and representing total community contributions of Baht 40.6 million.

Governance: The Company strengthened proactive oversight and crisis preparedness through the review and identification of key risks expected to emerge in 2026. This forward-looking approach enhances organizational resilience amid an evolving national and global operating environment.

The Company delivered 66 research and development projects in 2025 (213 cumulated projects) and registered 195 intellectual property items, including 23 copyrights, 18 patents, and 154 trademarks, reflecting its continued advancement in medical innovation.

The company also strengthened sustainable supply chain practices through the Local Supplier Initiative, supporting domestic procurement to reduce reliance on imports, lower transportation costs, and decrease related GHG emissions. This approach reinforces business continuity while minimizing environmental impact.
